

Insurance



Sophie buys household insurance, and yet she has never been burgled. Why does she continue to pay? She does so essentially because she seeks to avoid risk. With insurance she ends up with less wealth in the event that she doesn't get burgled, but if she is burgled, the insurance company makes up the losses. Insurance transfers wealth from the outcome in which she is not burgled to the one in which she is. Without it, she will end up with a higher return in the first outcome, a lower return in the second. The expected returns – wealth in each outcome weighted by the probability of the outcome – are the same with or without insurance, but still, because she hates risk she takes out the policy. The company, meanwhile, can insure her by insuring large numbers of people: it is hard to predict whether Sophie herself will be burgled, but one can make a reasonable prediction about how many out of 1,000 people will be. The

company can therefore ensure that the total premiums paid will cover the total amount paid out.